ASSIGNMENT GUIDELINES

- Make the changes in the PPT as you solve the parts
- This file contains the template for all the parts of the project.
- Check the instructions added in the note section of every slide for clarity.
- Don’t move around any image or text box
- If you require more/lesser elements, be careful when you copy/delete the existing ones.

ASSIGNMENT

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Problem Statement

The sales pipeline conversion percentage at TechnoServe (a tech SaaS startup) has dropped from 35% at the end of last fiscal (FY 2017-18) to 25% at present.

Assignment Objective

Understand the problem, come up with a hypothesis for low conversions faced by TechnoServe, and analyse the dataset provided to arrive at possible solutions to increase it.

PART I : 1. Understanding the Problem

Sales Pipeline Conversion at a SaaS Startup

Who?

1. **Who is facing the problem?**
TechnoServe, a SaaS startup providing IT productivity solutions.
2. Who is affected by the problem?
- Sales team (low conversion rate)
- Marketing team(lead quality concerns)
- Management (declining revenue growth)
- 600 +employees (potential business impact
3. Who are the customers involved?
SME's across Pune and other cities.

What?

1. **What is the problem?**
The sales pipeline conversion rate has dropped from 35% (FY 2017-18) to 25% currently.
2. **What does this mean?**
A lower percentage of leads are converting into paying clients.

When?

1. **When did the issue start?**
After FY 2017-18 when the conversion rate starts declining.
2. **When does the issue occur in the pipeline**?
During the lead-to-client conversion stage in the sales funnel.

Where?

1. Where is the company located?
Pune, India
2. Where is the problem occurring ?
In the sales pipeline across different customer segments and markets.
3. Where could the bottleneck be?
- Lead qualification stage
- Product demonstration stage
- Pricing negotiation stage

How?

1. **How is the problem affecting the company?**
It results in reduced customer acquisition and lower reccuring SaaS revenue.
2. **How can it be solved?**
There is a need for improving lead qualification better customer needs analysis and optimizing the sales process and follow ups.

PART I : 2. Understanding the Problem

Sales Pipeline Conversion at a SaaS Startup

Situation

1. What software solutions are you currently using to manage your business operations?
2. How many employees in your company use productivity or workflow management tools?
3. How do you currently handle productivity tracking in your organization?

Problem

1. Are you facing any problems with the software you currently use?
2. Do your current tools slow down your work or make tasks difficult?
3. Is it difficult to connect or use different software systems together?
4. Do your employees face issues while using the current software?

Implication

1. How do these inefficiencies impact your team's productivity or overall business performance?
2. Does the lack of integration between systems affect decision-making or reporting?
3. How much time or cost does your organization lose because of these process inefficiencies?

Need-Payoff

1. Would better software help your team work faster?
2. Would it help if your work processes were more organized and automated?
3. Would a solution that saves time and improves productivity benefit your company?

PART II : Formulating Hypotheses

Sales Pipeline Conversion at a SaaS Startup

Framework Used

Issue tree Framework with BANT criteria applied to analyse lead qualification.

Reason for using the selected framework

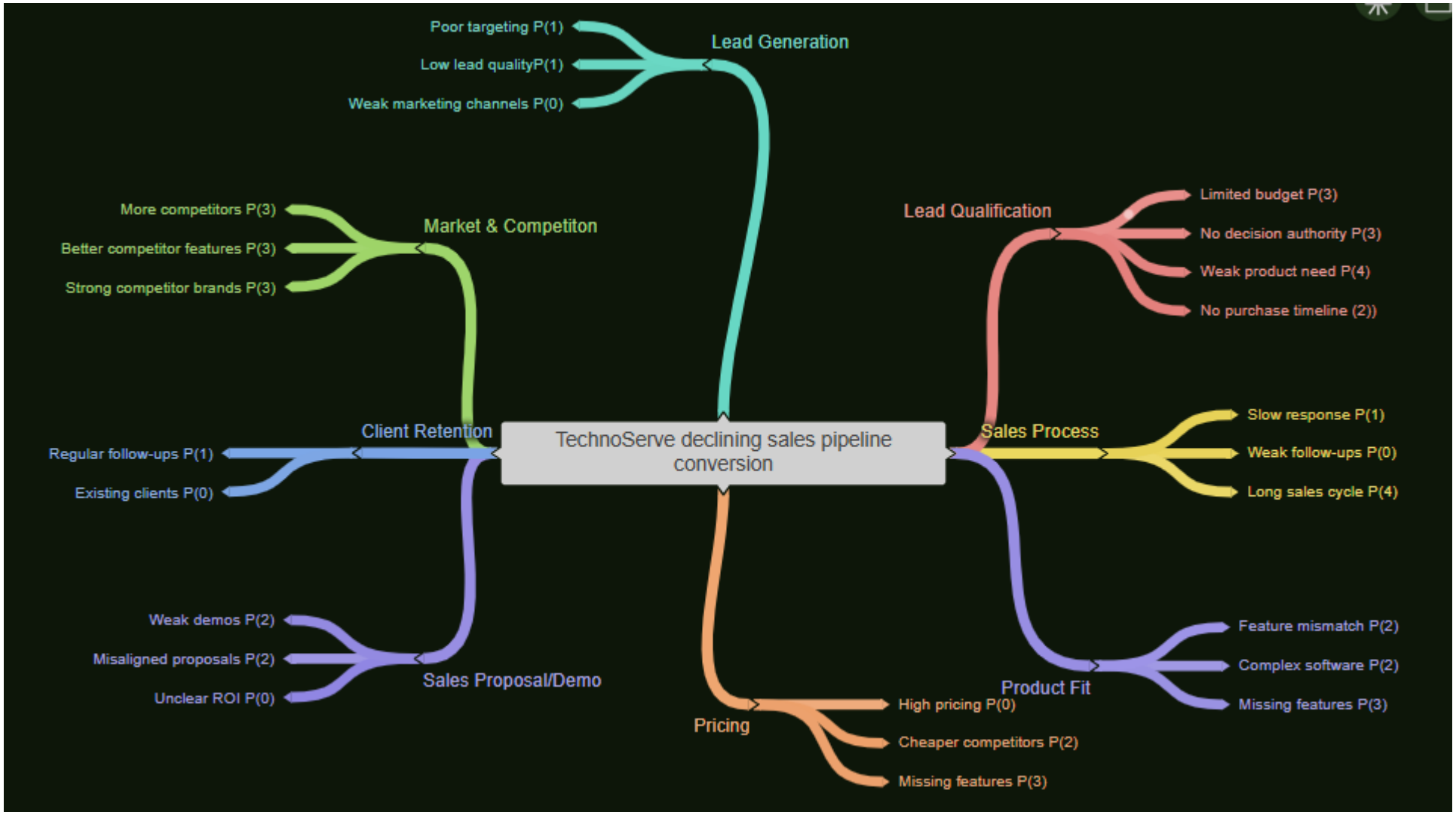
The Issue Tree Framework is used to break down a complex business problem into smaller and manageable components. It helps ensure that all possible causes of the decline in sales pipeline conversion are explored systematically, it becomes easier to identify where issue may exist and formulate hypotheses accordingly. For analysing the lead qualification stage BANT criteria is used which helps determine whether potential leads have the financial capacity, decision making authority, genuine need for the product and a defined timeline for purchase.

How you have used the framework here

The Issue Tree Framework is used to break the problem of declining sales conversions into different key branches such as lead generation, lead qualification, sales process, product fit, pricing, sales proposal and market & competition. Under Lead Qualification branch the BANT framework is applied to evaluate whether the leads are suitable and likely to convert.

PART II : Formulating Hypotheses

Sales Pipeline Conversion at a SaaS Startup



PART II : Formulating Hypotheses

Sales Pipeline Conversion at a SaaS Startup

Branch 1 : Lead Generation

- Is the company targeting wrong customer segments, leading to poor targeting of potential clients? P(1)
- Are marketing campaigns generating low quality leads that are unlikely to convert? P(1)
- Are the current marketing channels ineffective in reaching the right customer? P(0)

Branch 2 : Lead Qualification

- Do potential clients lack sufficient budget to purchase TechnoServe's solutions? P(3)
- Is the person being contacted not the actual decision maker in the organization? P(3)
- Do the leads not have a strong and urgent need for the product? P(4)
- Do potential clients not have a clear timeline to make a purchase decision? P(2)

PART II : Formulating Hypotheses

Sales Pipeline Conversion at a SaaS Startup

Branch 3 : Sales Process

- Is the sales team taking too long to respond to potential customer inquiries? P(1)
- Are follow-ups with interested leads insufficient or inconsistent? P(0)
- Is the sales cycle too long, causing potential customers to lose interest? P(4)

Branch 4 : Product

- Do the product features not match the needs of SME customers? P(2)
- Is the software too complex or difficult for customers to understand and use? P(2)
- Are important features missing that customers expect from such solutions? P(3)

PART II : Formulating Hypotheses

Sales Pipeline Conversion at a SaaS Startup

Branch 5 : Pricing

- Is the pricing of the product too high for many SME customers? P(0)
- Are competitors offering similar SaaS solutions at lower prices? P(2)
- Do customers feel that the value of the product does not justify the price? P(3)

Branch 6 : Proposal/Demo

- Are proposal demonstrations not convincing enough for potential clients? P(2)
- Are sales proposals not properly aligned with specific needs of customers? P(2)
- Is the return on investment (ROI) of the product not clearly explained to the clients? P(0)

PART II : Formulating Hypotheses

Sales Pipeline Conversion at a SaaS Startup

Branch 7 : Market & Competiton

- Has there been an increase in the number of competitors in the SaaS market? P(3)
- Are competitors offering better or more attractive features than TechnoServe? P(3)
- Do competitors have a stronger brand reputation among SME customers? P(3)

Branch 8 : Client Retention

- Are existing clients being actively contacted for repeat purchases after their first sale? P(0)
- Is there a consistent follow-up process with past buyers to maintain relationships and identify new opportunities? P(1)

PART III A : Generating Insights

Sales Pipeline Conversion at a SaaS Startup

Variable	Insights if any	Pattern of Insight
1. Sales Velocity	1. 90+ days deals convert at 57.5%, longer deals perform best, not worst.	1. Surprising Comparison
2. Technology primary	2. Analytics best at 26.3%; legacy modernization worst at 12.1% this gap suggests complex products face higher sales friction.	2. Surprising Extreme
3. Client Revenue Sizing	3. All SME segments cluster tightly at 22–23%; Enterprise clients drop to 19.3%, showing weaker product-market fit at the top end.	3. Abnormal Distribution
4. Opportunity Sizing	4. Smaller deals convert better, deals under 10k convert at 40% while deals worth 40k-50k worst at 11.7%.	4. Surprising extreme
5. B2B Sales Medium	5. Enterprise sellers best at 27.6%, online leads worst at 6.5% far below every other channel.	5. Significant Outlier
6. Business from Client Last year	6. Existing clients convert at 47-83% whereas new clients at only 17.3%, trust built in prior business drives repeat conversions.	6. Unknown Result
7. City	7. Mumbai highest at 25.4%, Pune(HQ) lowest at 18.9%. Home city underperforming is unexpected	7. Significant Outlier

PART III A : Generating Insights

Sales Pipeline Conversion at a SaaS Startup

Variable under consideration: Sales Velocity

Deals that closed quickly, within 0 to 60 days converted at around 24%, which is normal. But deals that dragged on between 61 and 90 days dropped to just 16.7%. These are the deals where interest has faded, follow-ups have probably stopped, and the client has moved on or is being pulled toward a competitor. However, deals that went beyond 90 days told a completely different story, they converted at 57.5%, which is more than double any other group. This is because clients who are still talking to you after three months are clearly serious. They have gone through internal approvals, done their research, and are fully committed. These long deals are not slow, they are just thorough, and they almost always end in a sale.

Pattern: Surprising Comparison - Comparing short cycle deals versus long cycle deals reveals the complete opposite of what you would expect. Longer deals do not mean weaker interest, they actually mean stronger commitment and much higher conversion.

PART III A : Generating Insights

Sales Pipeline Conversion at a SaaS Startup

Variable under consideration: Technology Primary

When we looked at the four types of products TechnoServe sells, we found that Analytics had the best conversion rate at 26.3% and Legacy Modernization had the worst at 12.1%. To put that simply, if you took 100 people interested in Analytics, about 26 of them would buy. But for Legacy Modernization, only 12 out of 100 would buy. That is a huge difference for products sold by the same company. The reason is probably that Legacy Modernization is a more complicated product, clients find it harder to understand, it takes more time to explain, and decision makers inside the client's company are harder to convince. ERP Implementation and Technical Business Solutions were both around 21–23%, which is pretty normal and close to the company average.

Pattern: Surprising Extreme - Legacy Modernization at 12.1% is an extreme low that stands far apart from every other product, signaling it as a major problem area.

PART III A : Generating Insights

Sales Pipeline Conversion at a SaaS Startup

Variable under consideration: B2B Sales Medium

Five sales channels were compared. Enterprise Sellers performed the best at 27.6%, which is above the 22.6% average. Tele Sales came second at 21.9%, just below average. Marketing and Partners were similar at 18.6% and 18.5%. But Online Leads were a shocking 6.5% — meaning for every 100 leads that came through online, fewer than 7 converted. This is not just below average, it is dramatically lower than every other channel. The reason is likely that online leads are unqualified people who clicked an ad or filled a form out of curiosity, with no real intent to buy. Enterprise Sellers, on the other hand, involve direct human contact and relationship building, which naturally leads to higher trust and better conversion.

Pattern: Significant Outlier - Online Leads diverges sharply from every other channel and from the 22.6% average, making it a clear anomaly that needs immediate attention.

PART III A : Generating Insights

Sales Pipeline Conversion at a SaaS Startup

Variable under consideration: Client Revenue Sizing

Five client revenue groups were compared. The most striking finding here is how similar most groups are — all SME segments between 100K and 1M revenue converted at almost exactly the same rate, ranging narrowly between 22.3% and 22.9%. This tight clustering shows TechnoServe's product fits small and mid-sized businesses very consistently. However, clients earning more than 1M revenue dropped noticeably to 19.3%. This suggests that at the enterprise level, TechnoServe's product either lacks the advanced features larger companies need, faces stronger competition, or requires a more sophisticated sales approach that the current team may not be trained for.

Pattern: Abnormal Distribution - The data was expected to show higher revenue clients converting better since they have more budget. Instead it shows the opposite, which is an abnormal and unexpected spread.

PART III A : Generating Insights

Sales Pipeline Conversion at a SaaS Startup

Variable under consideration: Opportunity Sizing

Seven deal size groups were compared and the pattern is very clear the smaller the deal, the easier it is to close. Deals under 10K converted at a remarkable 40%, nearly double the overall average. As deal size increased, conversion generally fell. But the most concerning finding is the 40K–50K group, which had the worst conversion rate of all at 11.7%, despite having highest volume with 18,074 leads. This means TechnoServe is generating a huge number of leads in this range but converting less than 1 in 8 of them. The likely reason is that at this price point clients start to scrutinize value more carefully, compare competitors more seriously, and require more convincing but the sales process may not be strong enough to handle that pressure.

Pattern: Surprising Extreme - The 40K–50K group hitting the lowest conversion of 11.7% while simultaneously having the highest volume of leads is an extreme that nobody would have predicted going in.

PART III A : Generating Insights

Sales Pipeline Conversion at a SaaS Startup

Variable under consideration: Business from client last year

This was the most powerful finding in the entire dataset. Clients who had any prior business with TechnoServe, even a small amount between 0 and 25,000, converted at an extraordinary 82.6%. Clients with slightly higher prior spend converted at 73.7%, 61.7%, and 46.9% respectively as their prior spend went up. But clients with absolutely no prior relationship converted at only 17.3%. The gap between existing clients and new clients is nearly 5x. This tells a very clear story, TechnoServe is very good at selling to people who already know and trust them, but struggles significantly to win over completely new prospects. The relationship built during the first sale is doing most of the work in the second sale.

Pattern: Unknown Result- Nobody would have predicted that prior business history would create such a massive 5x difference in conversion. This was completely hidden before the data analysis and is now the most actionable finding in the entire study.

PART III A : Generating Insights

Sales Pipeline Conversion at a SaaS Startup

Variable under consideration: City

Seven cities were analyzed. Mumbai had the highest conversion rate at 25.4%, noticeably above the 22.6% average. Delhi, Hyderabad, Chennai, Bengaluru and Kolkata all clustered tightly between 21% and 22.7%, which is fairly normal and expected. But Pune stood out as the lowest at 18.9%, which is nearly 7 percentage points below Mumbai and about 4 points below the national average. What makes this particularly surprising is that Pune is TechnoServe's own headquarters city. You would expect the home city to perform at least at average, given better brand familiarity, easier access to the sales team, and stronger local knowledge. The underperformance here suggests a specific local issue, it could be stronger competition in Pune, a weaker local sales team, or the fact that proximity to the head office creates complacency.

Pattern: Significant Outlier - Pune diverges noticeably from all other cities and defies the logical expectation that the headquarters city should perform at least at average if not above it.

PART III A : Generating Insights

Sales Pipeline Conversion at a SaaS Startup

Recommendations

- Shift budget from Online Leads to Enterprise Sellers. Moving budget from online generation to direct selling is the single fastest way to improve conversion.
- The way to fix this is to assign real salespeople to new leads, offer a free trial or demo to remove uncertainty, and start with a small low-risk deal to get that first purchase done. Once a new client buys even once, they move into the existing client category where conversion jumps to up to 83%
- Launch a retention and upsell programme for existing clients

Corresponding Insights

- Online Leads convert at only 6.5% while Enterprise Sellers convert at 27.6%, almost 4 times better with the same effort
- New clients convert at only 17.3% due to lack of trust.
- Existing clients convert at up to 83% while new clients convert at only 17.3%.

PART III A : Generating Insights

Sales Pipeline Conversion at a SaaS Startup

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Recommendations

- Fix the sales approach for the 40K–50K deal range Something is clearly breaking down at this price point, whether it is pricing, the pitch, or competition and fixing it would recover the highest number of lost deals.

- Investigate and fix Pune's underperformance. A quick review of lost deals and local sales team performance could reveal something fixable very fast.

- Focus lead generation on SME clients not large enterprises, Focusing on smaller businesses means better results with less effort and fewer resources wasted.

Corresponding Insights

- Smaller deals convert better, deals under 10k convert at 40% while deals worth 40k-50k worst at 11.7%..

- Pune is TechnoServe's headquarters city but has the lowest conversion rate of all 7 cities at 18.9% — nearly 7 points below Mumbai at 25.4%.

- SME segments convert consistently at 22–23% while enterprise clients above 1M drop to 19.3%.

PART III B : Presenting Findings

Sales Pipeline Conversion at a SaaS Startup

PRESENTING FINDINGS WITH PYRAMID PRINCIPLE

TechnoServe's conversion drop is not a market problem, it is a sales execution problem

Wrong Channels - TechnoServe is heavily relying on Online Leads which convert at just 6.5% while Enterprise Sellers who actually talk to clients convert at 27.6%. The company is investing in the weakest channel and underinvesting in the strongest one.

Ignoring Existing Clients - 89% of all leads in the dataset have zero prior relationship with TechnoServe. Yet existing clients convert at up to 83% compared to just 17.3% for new ones. The most valuable sales opportunity is sitting unused inside the existing client base.

Deals Breaking Down - in Specific Areas The 40K–50K deal range has the most leads at 18,074 but converts at only 11.7%. Pune the headquarters city converts at the lowest rate of all seven cities at 18.9%. And deals between 61 and 90 days are going cold at 16.7%. These are not random losses they are patterns that point to fixable problems.

"The data across 78,025 leads makes one thing clear — TechnoServe does not have a demand problem. The problem is entirely in how that interest is being handled."

PART III B : Presenting Findings

Sales Pipeline Conversion at a SaaS Startup

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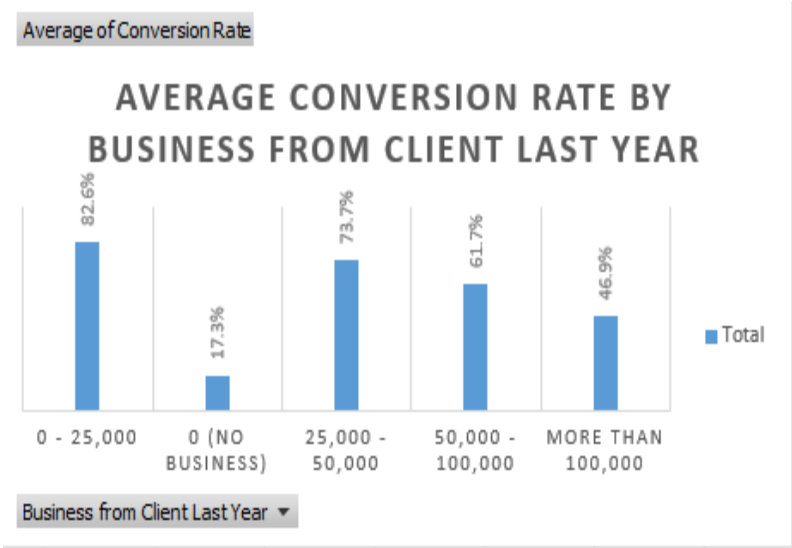
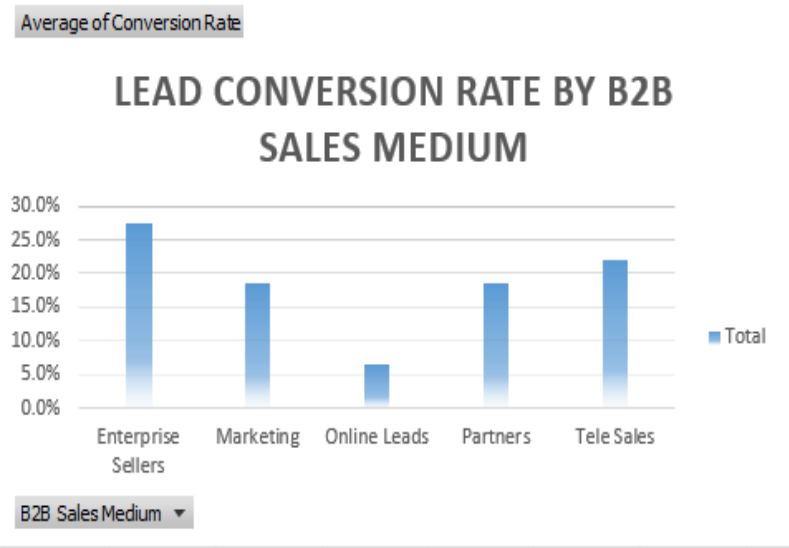
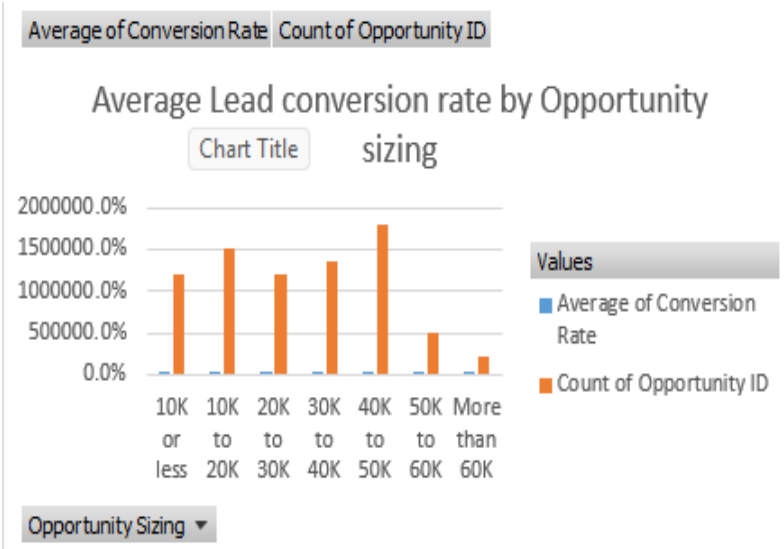
THE NUMBERS THAT PROVE IT







17.3% New clients vs 83% existing clients

6.5% online leads vs 27.6% enterprise sellers

18,074 Leads Converting at just 11.7% 40K–50K Deal Range

PART III B : Presenting Findings

Sales Pipeline Conversion at a SaaS Startup

FIVE THINGS TECHNOSERVE SHOULD DO (RECOMMENDATIONS)

Shift to Enterprise Sellers Stop investing in Online Leads at 6.5% and move that budget to Enterprise Sellers who convert at 27.6%. nearly 4 times better. The data is clear that human contact and relationship building converts far more effectively than any online channel. **Impact: Very High | Effort: Low**

Crack the 40K–50K Problem More leads come in at this price range than anywhere else, 18,074 of them. But fewer than 1 in 8 actually buys. Something about this price point is creating resistance that the current sales approach is not overcoming. Whether it is the pitch, the perceived value, or the competition, this needs a dedicated fix. Impact: **High | Effort: Medium**

Go Deeper Into the Market That Already Works Every SME segment converts at a steady 22–23% without much effort. Large enterprises on the other hand convert at 19.3% and likely demand far more resources to reach that result. The smart move is to go deeper into a market that already responds well rather than stretching thin chasing one that does not. **Impact: Medium | Effort: Low**

PART III B : Presenting Findings

Sales Pipeline Conversion at a SaaS Startup

FIVE THINGS TECHNOSERVE SHOULD DO (RECOMMENDATIONS)

Take a Hard Look at What is Happening in Pune No city in TechnoServe's network should be converting below the national average — let alone the city where the company itself is based. At 18.9% Pune is the weakest market of all seven and that is not acceptable for a headquarters location. A focused internal review could surface the answer quickly. **Impact: Medium | Effort: Low**

Stop Treating Existing Clients Like Strangers The data revealed something surprising — clients who have bought before convert at up to 83%. Yet 89% of all leads in the pipeline have zero prior history with TechnoServe. There is an entire base of warm, trusting clients being left untouched while the team chases cold new ones. **Impact: Very High | Effort: Very Low**